Market Behavior Report

4-Color Candle Logic + FVG Execution Logic™ + Order Flow Context

Phase 1 — Distribution & Controlled Sell Pressure

13:00 – 14:02

Candle sequence

🟢→ 🔵→ 🔴→ 🔴→ 🔴

Behavior

Early buying attempts appeared but quickly lost momentum as sellers took control.
Blue candles formed near local highs, indicating resistance and supply absorption.

Red candles then dominated the sequence, creating a steady downward push and lower highs.

Order Flow Context (14:02)

Rolling Delta: $0M
Cumulative Delta: $0.013M
Liquidity Pressure (AD): -0.63M

Interpretation:

- Aggressive selling had already slowed
- Liquidity flow remained strongly negative
- Supply was still being distributed

This environment often traps traders attempting to buy prematurely during a declining phase.

Phase summary

Distribution was underway, with sellers gradually pressing price lower while liquidity was still being released into the market.

Phase 2 — Liquidity Sweep & Accumulation

14:03 – 14:51

Candle sequence

🟡→ 🟢→ 🔵→ 🟢

At 14:03 a sharp move pushed price to a new low, producing a Yellow candle, which represents a liquidity sweep or swing-low event.

Shortly after, Green candles began appearing, followed by Blue pullbacks and renewed Green pressure.

This pattern signals a transition from selling pressure to absorption.

Order Flow Context (14:51)

Rolling Delta: $0M
Cumulative Delta: $0.026M
Liquidity Pressure (AD): -0.65M

Interpretation:

- Buying aggression was still limited
- Liquidity pressure remained negative
- Supply continued to be absorbed quietly

Despite weak buying aggression, price began stabilizing and forming higher lows.

This behavior typically indicates accumulation, where larger participants build positions without aggressively pushing price.

Phase summary

Liquidity was swept and absorbed while the market quietly transitioned from distribution into accumulation.

Phase 3 — Early Expansion & Trend Formation

14:52 – 15:18

Candle sequence

🟢→ 🔵→ 🟢→ 🟢

Price began producing higher lows and stronger bullish candles.

Blue candles appeared during pullbacks but were not followed by sustained selling pressure, suggesting buyers were absorbing any selling attempts.

Order Flow Context (15:18)

Rolling Delta: $0.002M
Cumulative Delta: $0.11M
Liquidity Pressure (AD): -0.60M

Interpretation:

- Small selling aggression appeared during pullbacks
- Overall buying pressure remained modest
- Liquidity flow was still negative

Despite this, price continued rising.

This indicates that buying absorption was stronger than visible order-flow aggression, a common characteristic of institutional accumulation transitioning into a trend.

Phase summary

The market entered a trend-building phase, where price began expanding upward even though aggressive buying had not yet fully appeared.

Phase **4** — Two-Stage Liquidity Hunt

15:19- 15:33

1️⃣ First Liquidity Hunt

Order Flow Context 15:27

Rolling Delta: -$0.001M
Cumulative Delta: $0.032M
Liquidity Pressure (AD): -0.61M

Context: the market was already transitioning from accumulation to expansion.

Typical sequence there

🟢→ 🔵→ 🟡→ 🟢

What likely happened:

- Trend already moving up
- Pullback forms (🔵)

- Price dips slightly below local lows
- 🟡 stop-loss sweep
- Buyers reclaim control

Who gets trapped here?

• Early longs stopped out
• Short traders entering breakdown

Market collects liquidity and continues.

This is the first stop harvest.

2️⃣ Second Liquidity Hunt

15:31–15:33

Another pullback forms.

Order Flow Context (15:18)

Rolling Delta: -$0.004M
Cumulative Delta: $0.31M
Liquidity Pressure (AD): -0.60M

Sequence again resembles:

🔵→ 🟡→ 🟢

This is important.

The market runs liquidity twice.

Why?

Because after the first sweep, new traders enter again.

So liquidity reforms.

Stops appear again under:

- pullback lows
- breakout entries
- late longs

Algorithm goes back for another harvest.

What this means structurally

It’s essentially had:

Accumulation
↓
Breakout
↓
Stop Sweep #1 (15:18)
↓
Continuation attempt
↓
Stop Sweep #2 (15:33)
↓
Momentum expansion

This is actually very common before a clean trend leg.

Markets often need liquidity clears before the move becomes smooth.

Why the rally after 15:33 became clean

Look at candles afterward.

Almost all:

🟢 + 🔵
Very little 🔴

That means:

Sellers were exhausted.

After two stop runs:

- weak longs are gone
- breakout shorts are trapped

Now the path upward is low resistance.

The order-flow numbers confirm it

Before expansion:

Rolling Delta negative

Meaning:

• people were still selling pullbacks

After 15:33:

Rolling Delta turns strongly positive

Cumulative Delta jumps massively.

That means:

Momentum traders finally joined.

But smart money already built the position earlier.

The real lesson for traders

When you see multiple stop sweeps in the same area, it often means:

Liquidity is being prepared
for a directional move.

Not a reversal.

Educational takeaway

A strong trend often forms after two liquidity clears:

Liquidity Sweep
↓
Failed reversal
↓
Second Sweep
↓
Momentum expansion

Retail usually interprets the sweeps as trend failure/manipulate.

But in reality, the market is removing weak positions before moving.

The 4-Color Candle Logic shows this perfectly.

Those 🟡 (🔴) events before strong 🟢 continuation are basically a visual stop-hunt detector.

Most indicators can't show that behavior this clearly.

Phase 5 — Momentum Release & Trend Continuation

15:34 – 15:59

Candle sequence

🔵→ 🟢→ 🟢→ 🟢→ 🟢

During this phase, a Fair Value Gap (FVG) remained open and price interacted with the zone before continuing higher.

Blue candles represented short pullbacks, but strong Green candles quickly resumed control.

This is a typical trend continuation behavior.

Order Flow Context (15:59)

Rolling Delta: $0.014M
Cumulative Delta: $0.293M
Liquidity Pressure (AD): -0.36M

Interpretation:

- Buyers became aggressively active
- Cumulative buying increased sharply
- Liquidity pressure improved significantly

The earlier accumulation phase now transitioned into momentum expansion, as aggressive market orders pushed the trend higher.

Phase summary

The move built earlier through absorption and accumulation was finally driven by aggressive participation, creating a strong bullish continuation.

Key Educational Insights

1. Price Behavior Reveals Market Control

4-Color Candle Logic shows which side is currently controlling price through sequence changes and structure shifts.

2. Imbalances Highlight Opportunity

Fair Value Gaps reveal where price inefficiencies exist and where continuation or reaction is likely.

3. Order Flow Shows Participation Strength

Delta and AD metrics reveal whether market participants are aggressively pushing price or quietly absorbing liquidity.

The Combined Market Model

The framework can be understood as three complementary layers:

Price Behavior
Shows who controls the market.

Imbalance (FVG Execution Logic™)
Shows where opportunities and inefficiencies exist.

Order Flow (Delta & AD)
Shows how strongly participants are acting.

Together they reveal market intent, not just price direction.

Final Observation

One of the most notable aspects of this session is that Liquidity Pressure (AD) remained negative throughout the move, even while price rallied strongly.

This suggests the trend was built primarily through absorption and inventory accumulation, before aggressive buyers finally pushed the market higher.

Understanding this distinction helps traders recognize why many trends begin quietly and appear weak before expanding.